

Multiple Choice (10 marks)

1. Which of the following would shift the aggregate demand curve to the right?
 - (a) An increase in unemployment rates
 - (b) A decrease in government spending
 - (c) A decrease in the supply of money
 - (d) An increase in savings
 - (e) An increase in interest rates
2. Does the principle of comparative advantage apply only to international trade?
 - (a) No, it is a principle that applies only to consumer choice in the market.
 - (b) No, it is only applicable to the exchange of services, not goods.
 - (c) Yes, it specifically applies to trade agreements between neighboring countries.
 - (d) No, it applies wherever productive units have different relative efficiencies.
 - (e) Yes, it only applies to international trade.
3. If Matt's total utility from consuming bratwurst increased at a constant rate, no matter how many bratwurst Matt consumed, what would Matt's demand curve for bratwurst look like?
 - (a) Linearly increasing
 - (b) Inverted U-shape
 - (c) Horizontal
 - (d) Upward sloping
 - (e) Vertical
4. The aggregate demand curve is
 - (a) not found by adding product demand curves horizontally or vertically
 - (b) a vertical summation of market demand curves
 - (c) found by adding product demand curves both horizontally and vertically
 - (d) a horizontal subtraction of firm demand curves
 - (e) a simple aggregation of demand curves for individual goods
5. What school of economists defended Say's Law? Which pro-minent economist disputed this theory?
 - (a) Chicago school, Stiglitz

- (b) Marxist school, Minsky
- (c) Behavioral school, Akerlof
- (d) Neoclassical school, Friedman
- (e) Neoclassical school, Coase

True / False (10 marks)

Answer True or False

- 6. True or False: A recovery from a recession is often characterized as economic reformation, indicating a return to growth and stability.
- 7. True or False: The economic growth from 1990 to 2000, based on real GDP per capita, was 50 percent.
- 8. True or False: A perfectly competitive firm maximizes profit by continuing to operate as long as price exceeds maximum average total cost.
- 9. True or False: Classical analysis suggests that contractionary monetary policy can help an economy recover from a recession.
- 10. True or False: Marginal cost intersects average variable cost at the point where average variable cost is always greater than marginal cost.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the role of money as a unit of account, using the price of a 20-ounce bottle of pop at \$1.25 as a case study. How does this function facilitate economic transactions and comparisons?
- 12. Discuss the conditions under which marginal cost equals average variable cost and average total cost, including the implications of this relationship for production decisions.

End of Paper